NHPC Ltd

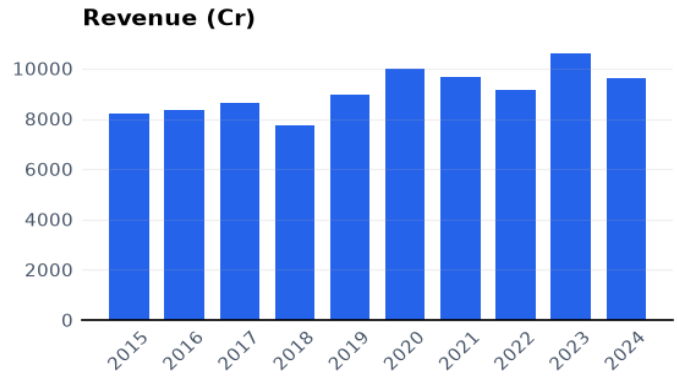
NHPC

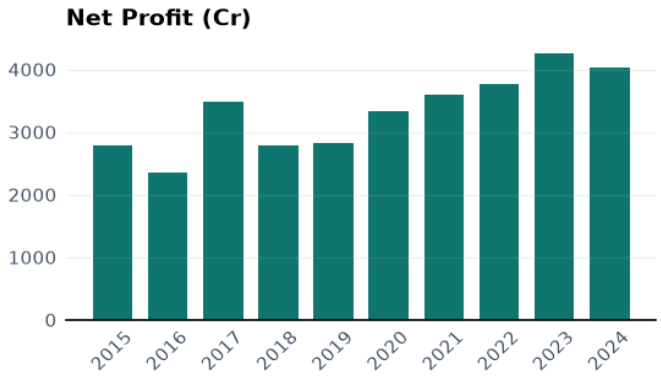
Energy

Company Tearsheet

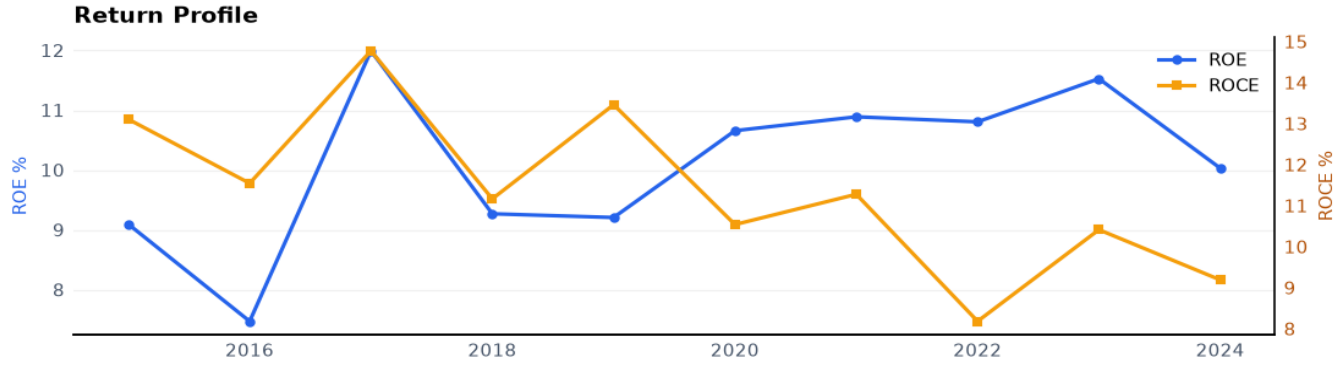
1.4% Revenue CAGR (5Y)	**7.3%** PAT CAGR (5Y)	**10.0%** ROE
9.2% ROCE	**0.85x** Debt / Equity	**1.27x** CFO Quality

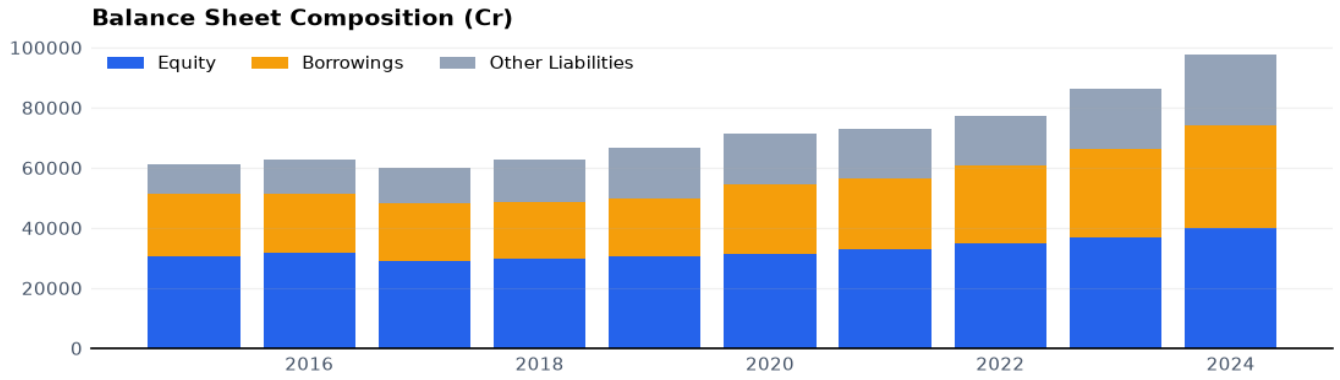
10-Year Financial Performance

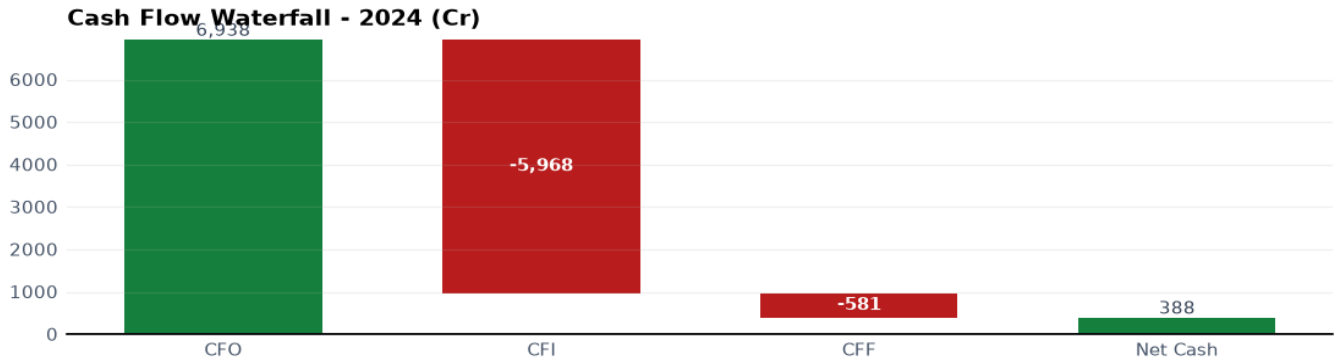




Returns and Capital Efficiency







PROS

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

CONS

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION

Shareholder Returns